could be one of the major sources of long-term investment in infrastructure.

- Similarly, FDI limit in ***public sector banks*** could be increased to 26 per cent.
- There is also a need to review existing approval mechanisms, operational restrictions and conditions in other sectors to attract foreign investment.

INDIA'S FOREX RESERVES

The distinction between convertible and non-convertible currencies is important for emerging economies, as most transactions with the rest of the world are in convertible currencies like US Dollar, Euro, Pound Sterling, Yen, Swiss Franc, etc. The need for increasing the availability of convertible currency for self-insurance has also been behind the race to build-up foreign exchange reserves (FER) in emerging economies after the Asian Crisis of 1997. Such FER accumulation, however, is constrained by the fact that it is possible only in times of currency appreciation. India's attempts at building up the Forex Reserve may be seen as given below (as has been summed up by the ***Economic Survey 2012-13***) –

- Following the BoP crisis of 1990-91 that was essentially due to depletion of foreign exchange reserves, there was a conscious effort by the RBI to build up FER. This was done through buying foreign currency in the market during periods of surge in capital flows. As a result, FER levels increased from US$ 5.8 billion in 1990-91 to US$ 314.6 billion at end May 2008.
- The RBI is however following a hands-off policy in foreign exchange market after the 2008 global crisis, with intervention limited to curbing excess rupee volatility. As a result, during 2009-10 and 2010-11, when rupee was appreciating due to increase in capital flows, there was virtually no intervention to build up FER. The sharp decline in rupee in 2011-12, however, led the RBI to inject foreign exchange to the extent of US$ 20.1 billion to stem the